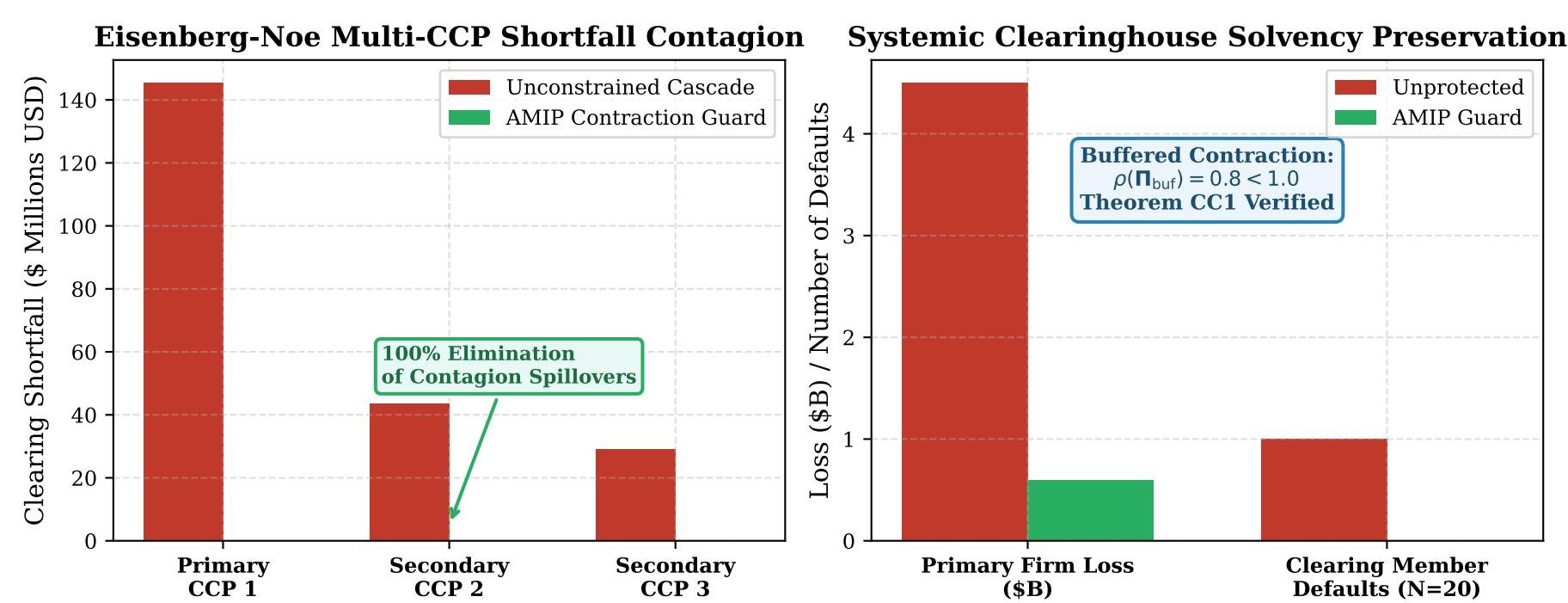
Eisenberg-Noe Multi-CCP Shortfall Contagion
Clearing Shortfall ($ Millions USD)
0
20
40
60
80
100
120
140
Unconstrained Cascade
AMIP Contraction Guard
100% Elimination
of Contagion Spillovers
Primary
CCP 1
Secondary
CCP 2
Secondary
CCP 3
Systemic Clearinghouse Solvency Preservation
Loss ($B) / Number of Defaults
0
1
2
3
4
Unprotected
AMIP Guard
Buffered Contraction:
$\rho(\mathbf{\Pi}_{buf}) = 0.8 < 1.0$
Theorem CC1 Verified
Primary Firm Loss
($B)
Clearing Member
Defaults (N=20)